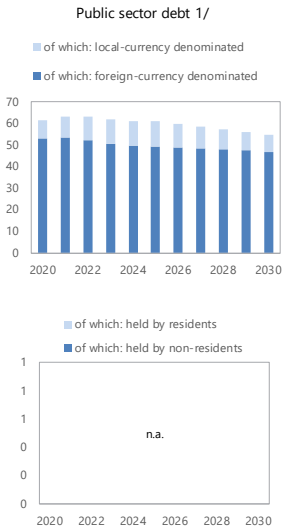
Table 3. Lesotho: Public Sector Debt Sustainability Framework, Baseline Scenario, 2019–2040

(In percent of GDP, unless otherwise indicated)

	Actual	Projections											Average 6/	
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2040	Historical	Projections
Public sector debt 1/	**54.4**	**61.4**	**63.2**	**63.0**	**61.7**	**61.2**	**61.0**	**59.7**	**58.5**	**57.3**	**56.1**	**54.9**	**45.4**	**41.7**	**59.8**
of which: external debt	**44.4**	**53.0**	**53.4**	**52.3**	**50.6**	**49.8**	**49.4**	**49.0**	**48.5**	**48.0**	**47.4**	**46.8**	**43.1**	**35.6**	**49.8**
	48.9	51.2	62.4	62.7	62.0	63.3	66.8	69.8	69.4	69.0	68.6	68.2	65.7		
Change in public sector debt	6.1	7.0	1.8	-0.2	-1.3	-0.5	-0.3	-1.2	-1.2	-1.2	-1.2	-1.2	-0.8		
Identified debt-creating flows	**11.7**	**9.4**	**4.5**	**3.4**	**-3.3**	**-2.5**	**-3.2**	**-1.1**	**-1.1**	**-1.1**	**-1.0**	**-1.0**	**-0.7**	**4.5**	**0.3**
Primary deficit	**4.3**	**5.8**	**6.2**	**5.4**	**-1.6**	**-2.1**	**-2.5**	**0.5**	**0.5**	**0.5**	**0.5**	**0.5**	**0.5**	**3.7**	**1.2**
Revenue and grants	46.3	50.0	44.4	42.1	46.3	47.4	48.4	43.4	43.4	43.4	43.4	43.4	43.4	**48.7**	**45.1**
of which: grants	3.5	3.1	3.1	3.0	3.0	2.9	2.9	1.9	1.9	1.9	1.9	1.9	1.9		
Primary (noninterest) expenditure	50.6	55.8	50.6	47.6	44.7	45.3	45.8	43.9	43.9	43.9	43.9	43.9	43.9	**52.4**	**46.3**
Automatic debt dynamics	**7.4**	**3.6**	**-1.6**	**-2.0**	**-1.7**	**-0.4**	**-0.7**	**-1.6**	**-1.6**	**-1.6**	**-1.5**	**-1.5**	**-1.2**		
Contribution from interest rate/growth differential	-0.2	3.6	-1.6	-2.0	-1.7	-0.4	-0.7	-1.6	-1.6	-1.6	-1.5	-1.5	-1.2		
of which: contribution from average real interest rate	0.3	0.8	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.5	0.5	0.5	0.5		
of which: contribution from real GDP growth	-0.5	2.7	-2.3	-2.6	-2.2	-1.0	-1.3	-2.2	-2.2	-2.1	-2.1	-2.0	-1.7		
Contribution from real exchange rate depreciation	7.6	...	...	...	...	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**-5.5**	**-2.4**	**-2.7**	**-3.6**	**2.0**	**2.1**	**2.9**	**-0.2**	**-0.2**	**-0.2**	**-0.2**	**-0.2**	**-0.1**	**-2.6**	**-0.2**
Sustainability indicators															
PV of public debt-to-GDP ratio 2/	**43.1**	**47.5**	**48.5**	**48.2**	**47.7**	**47.6**	**47.7**	**46.9**	**46.2**	**45.4**	**44.6**	**43.8**	**37.9**		
PV of public debt-to-revenue and grants ratio	**92.9**	**95.1**	**109.3**	**114.4**	**102.9**	**100.4**	**98.7**	**108.2**	**106.4**	**104.5**	**102.7**	**101.0**	**87.3**		
Debt service-to-revenue and grants ratio 3/	**7.5**	**17.1**	**13.8**	**11.6**	**9.4**	**11.3**	**11.4**	**10.8**	**13.5**	**13.6**	**12.5**	**11.3**	**9.4**		
Gross financing need 4/	7.7	14.4	12.3	10.4	2.7	3.2	3.0	5.2	6.4	6.4	5.9	5.4	4.6		
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	1.0	-4.8	3.9	4.3	3.7	1.7	2.1	3.7	3.7	3.7	3.7	3.7	3.7	**3.2**	**2.7**
Average nominal interest rate on external debt (in percent)	1.8	1.8	1.8	1.8	1.8	1.8	1.8	1.8	1.9	1.9	2.0	2.0	2.7	**1.5**	**1.9**
Average real interest rate on domestic debt (in percent)	2.6	2.8	5.8	6.3	6.0	5.7	5.6	5.8	5.9	5.4	5.3	5.3	5.5	**1.4**	**5.4**
Real exchange rate depreciation (in percent, + indicates depreciation)	20.1	...	...	...	...	...	...	...	...	...	...	...	...	**6.0**	**...**
Inflation rate (GDP deflator, in percent)	4.6	3.3	4.8	5.0	5.2	5.1	5.1	4.9	4.9	4.9	4.9	4.9	4.9	**5.6**	**4.8**
Growth of real primary spending (deflated by GDP deflator, in percent)	1.7	4.9	-5.9	-1.8	-2.5	3.0	3.3	-0.6	3.7	3.7	3.7	3.7	3.7	**1.3**	**1.4**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-1.9	-1.2	4.4	5.7	-0.3	-1.6	-2.2	1.7	1.7	1.7	1.7	1.7	1.3	**-2.1**	**1.2**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**



Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt . Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilize the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

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Table 4. Lesotho: Sensitivity Analysis for Key Indicators of Public Debt, 2020–2030

	Projections 1/										
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
PV of Debt-to-GDP Ratio											
Baseline	48	49	48	48	48	48	47	46	45	45	44
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2030 2/	48	46	45	49	53	**57**	**59**	**61**	**62**	**63**	**65**
B. Bound Tests											
B1. Real GDP growth	48	53	**59**	**62**	**66**	**70**	**73**	**75**	**78**	**80**	**82**
B2. Primary balance	48	53	**56**	**56**	**56**	**56**	55	54	53	52	51
B3. Exports	48	**58**	**71**	**70**	**70**	**70**	**69**	**66**	**64**	**62**	**60**
B4. Other flows 3/	48	53	**57**	**57**	**57**	**57**	**56**	54	53	51	50
B5. Depreciation	48	**57**	52	49	46	44	40	37	34	31	29
B6. Combination of B1-B5	48	50	51	48	48	48	48	47	46	45	44
C. Tailored Tests											
C1. Combined contingent liabilities	48	**72**	**70**	**70**	**70**	**70**	**68**	**67**	**66**	**64**	**63**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	95	109	114	103	100	99	108	106	104	103	101
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2030 2/	95	105	107	106	111	118	136	140	143	146	149
B. Bound Tests											
B1. Real GDP growth	95	118	138	133	138	145	167	173	178	184	189
B2. Primary balance	95	118	133	120	117	115	126	124	121	119	117
B3. Exports	95	131	169	152	148	145	158	153	147	142	137
B4. Other flows 3/	95	120	136	123	120	117	128	125	122	118	115
B5. Depreciation	95	130	125	106	98	91	93	86	79	73	66
B6. Combination of B1-B5	95	113	120	105	102	100	110	108	105	103	101
C. Tailored Tests											
C1. Combined contingent liabilities	95	163	167	150	147	144	157	154	151	149	146
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	17	14	12	9	11	11	11	14	14	13	11
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2030 2/	17	14	11	9	11	12	11	14	16	17	17
B. Bound Tests											
B1. Real GDP growth	17	14	13	11	14	14	15	19	21	20	20
B2. Primary balance	17	14	12	10	12	12	13	17	16	14	13
B3. Exports	17	14	12	11	13	13	13	18	17	16	15
B4. Other flows 3/	17	14	12	10	12	12	12	15	15	14	13
B5. Depreciation	17	14	14	11	13	13	12	14	13	12	11
B6. Combination of B1-B5	17	13	12	10	11	11	11	14	14	13	11
C. Tailored Tests											
C1. Combined contingent liabilities	17	14	15	12	14	14	20	22	16	15	13
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.

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